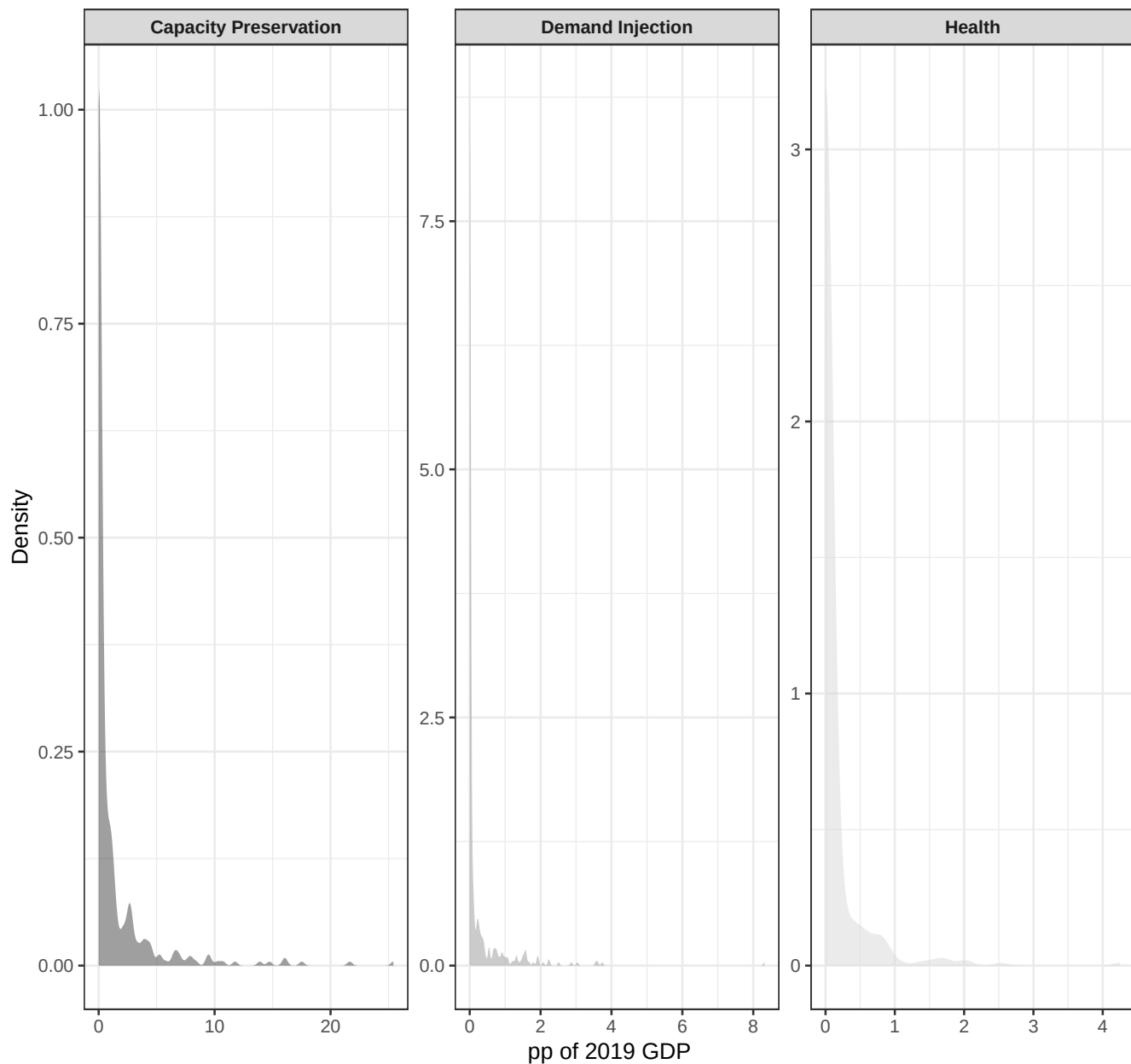
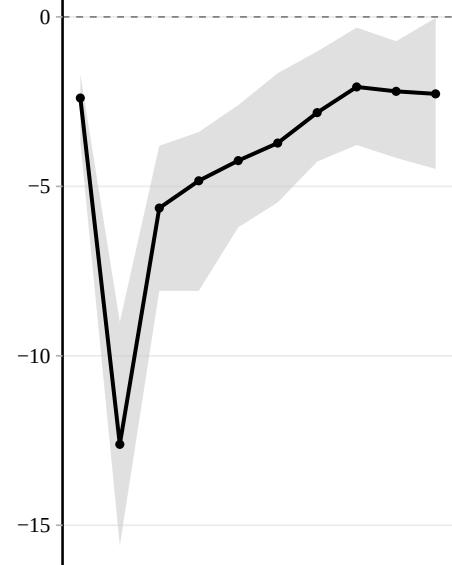


Distribution of Fiscal Instruments (pp of 2019 GDP)

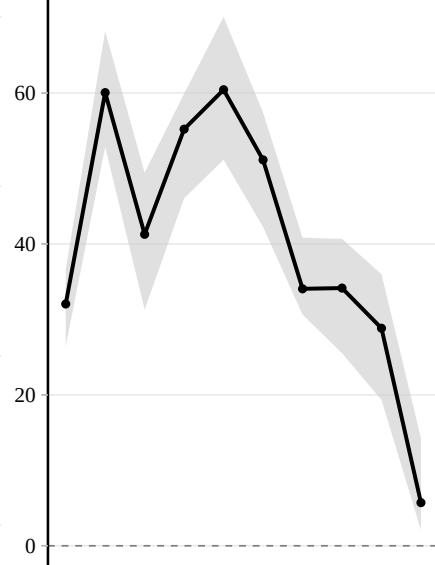
Estimation sample Q1.2020–Q1.2022. Highly right-skewed; many zeros.



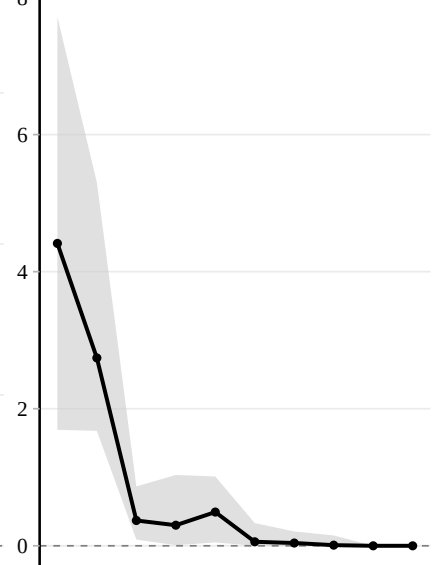
Output gap (pp of potential GDP)



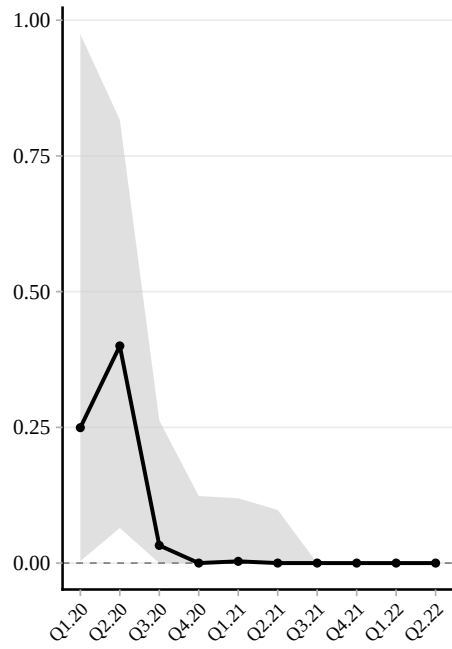
Containment stringency (0–100)



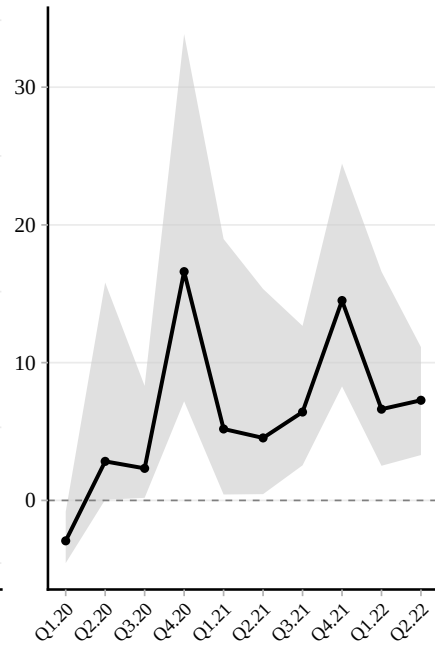
Capacity preservation (% of 2019 GDP)



Demand injection (% of 2019 GDP)



Excess mortality (P-score, %)



Change in public debt (pp of 2019 GDP)

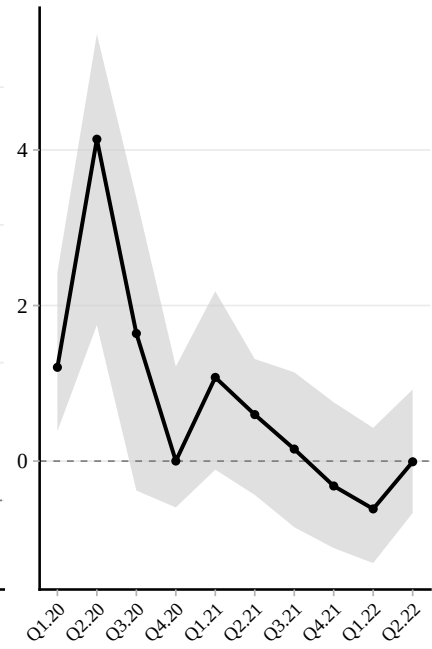
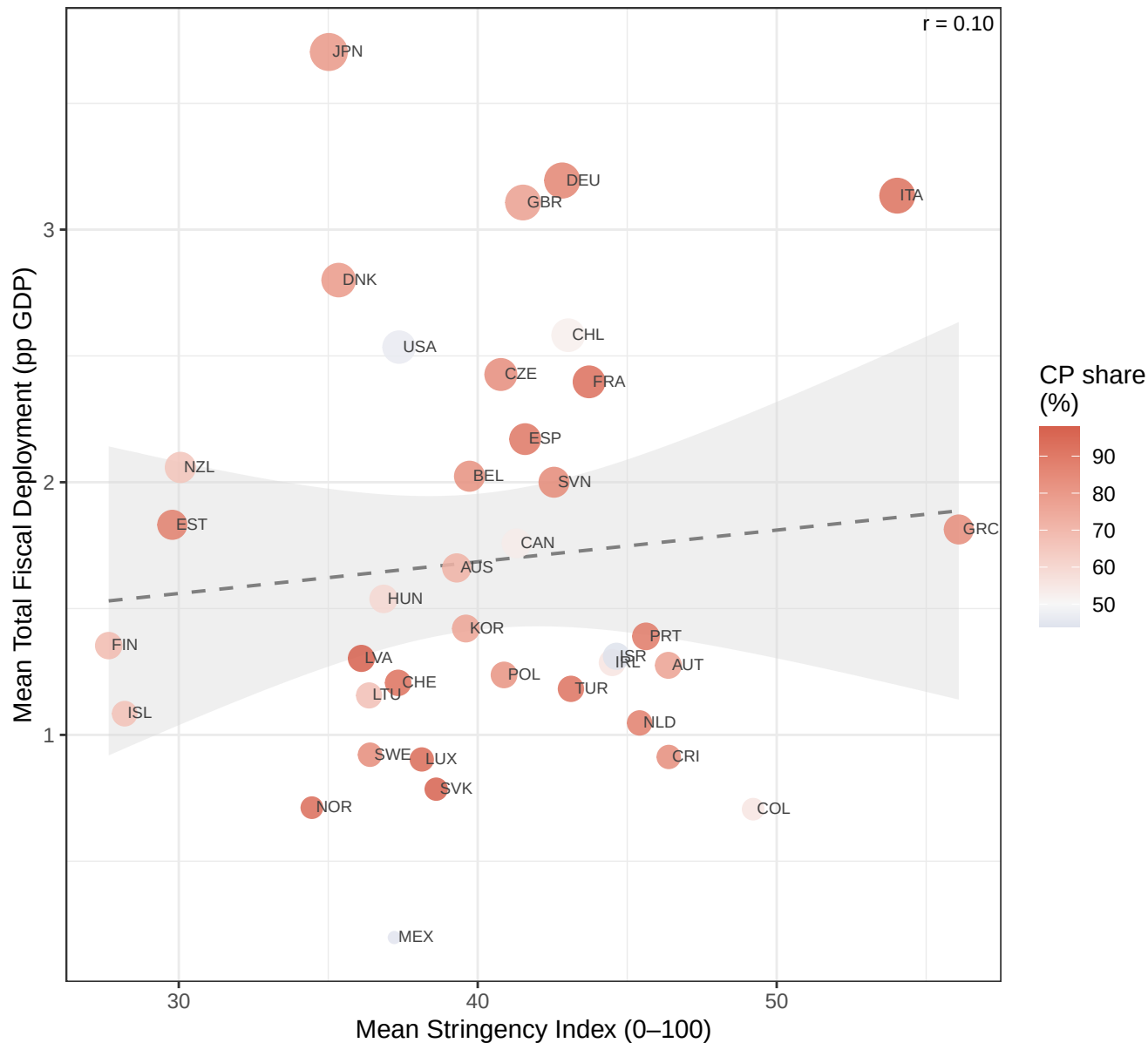


Figure 1: Identification — Fiscal Composition vs. Containment Stringency
 Cross-country means, Q1.2020–Q1.2022. Near-zero correlation validates $S \times F^{\text{CP}}$ identification.



Color: CP share of total fiscal package. OLS fit $\pm 95\%$ CI.

Figure 2: Cross-Country Variation in CP Share of Total Fiscal Package
Q1.2020–Q1.2022. Red dashed = OECD mean. Wide spread is the identifying variation.

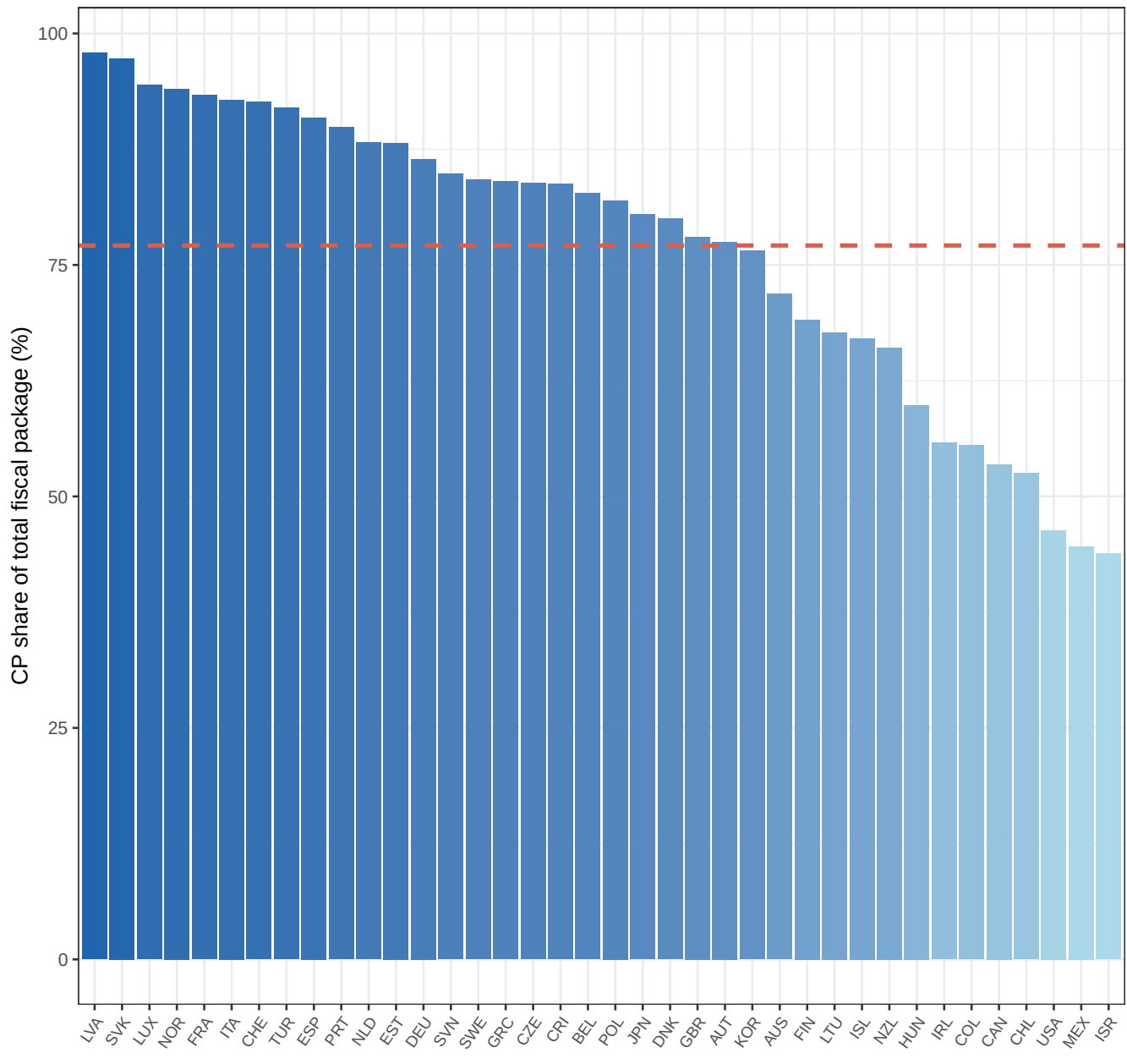
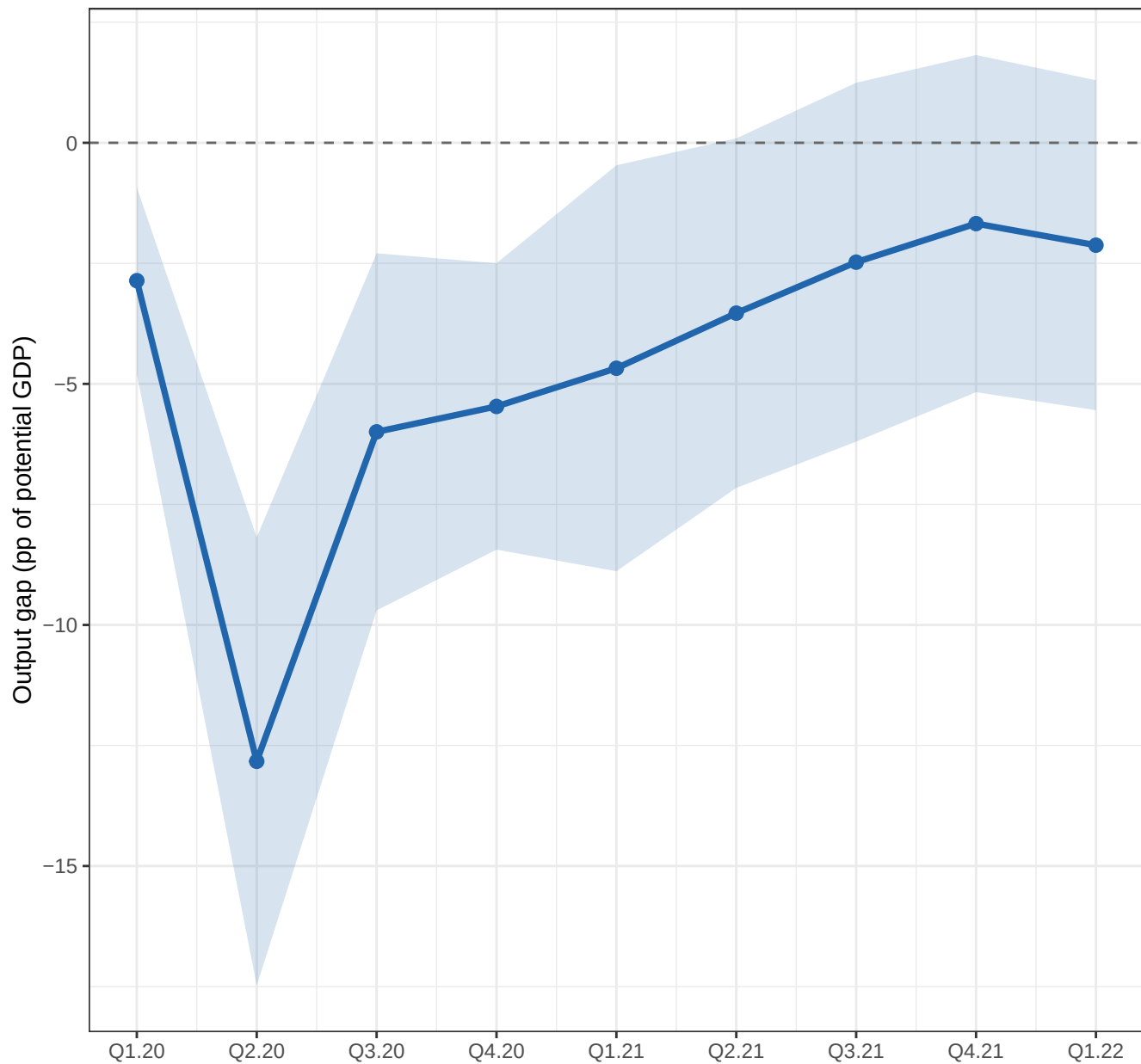
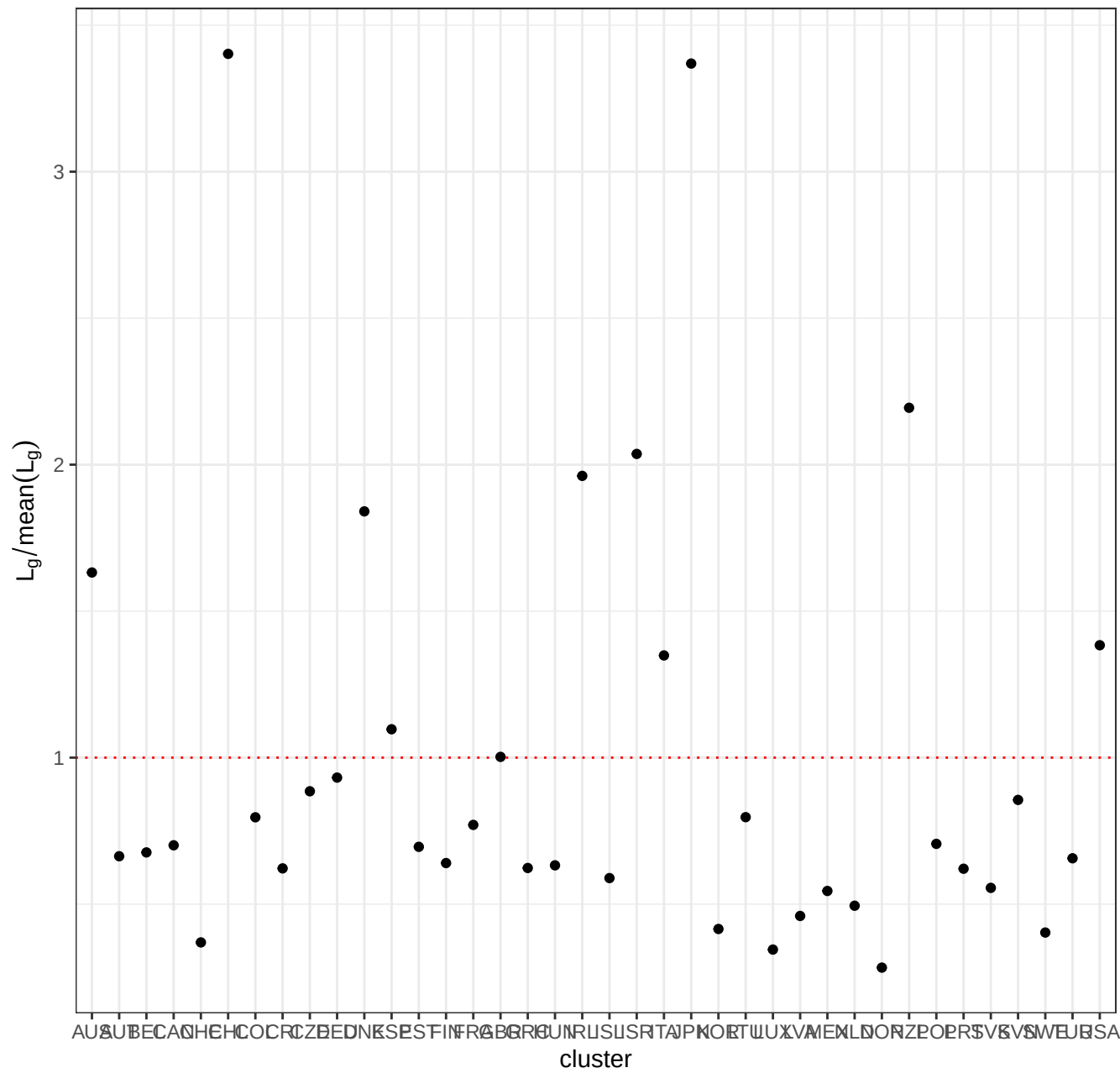


Figure 3: Output Gap — OECD Average (Q1.2020–Q1.2022)

Mean $\pm$ 1 SD across 38 countries. HP-filtered gap, pp of potential GDP.



Residual Leverage



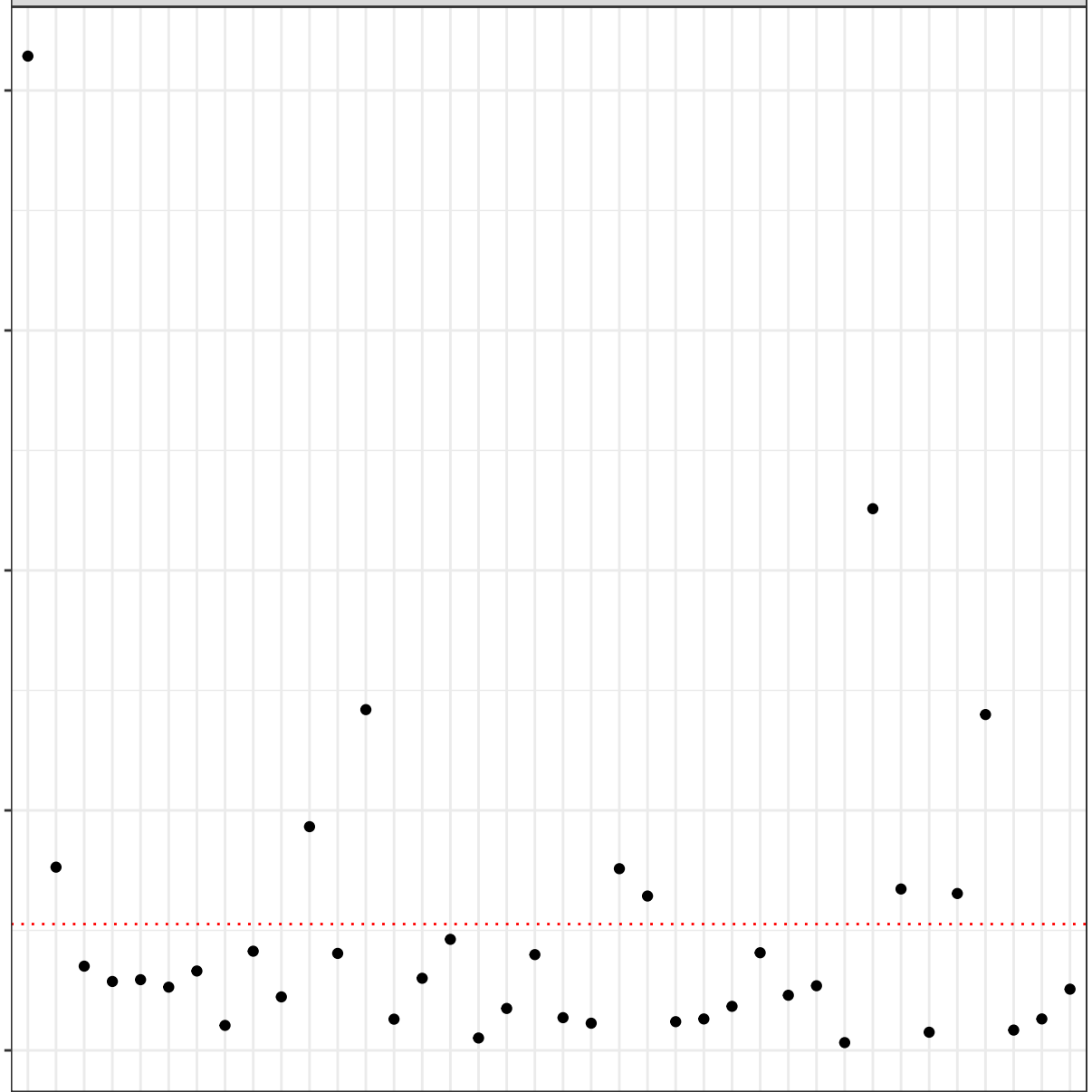
F_CP_above_flow_lag2

λ_{F}

0.20
0.15
0.10
0.05
0.00

AUSUBECANCHECHCCOCROZEDNEKSESTFINFRABRIGUIRISISRRTAPKORTUUXVMEXLNDONRZPOERSVSVSWEUBSA

cluster



λ^g
 β_j

0.70

0.65

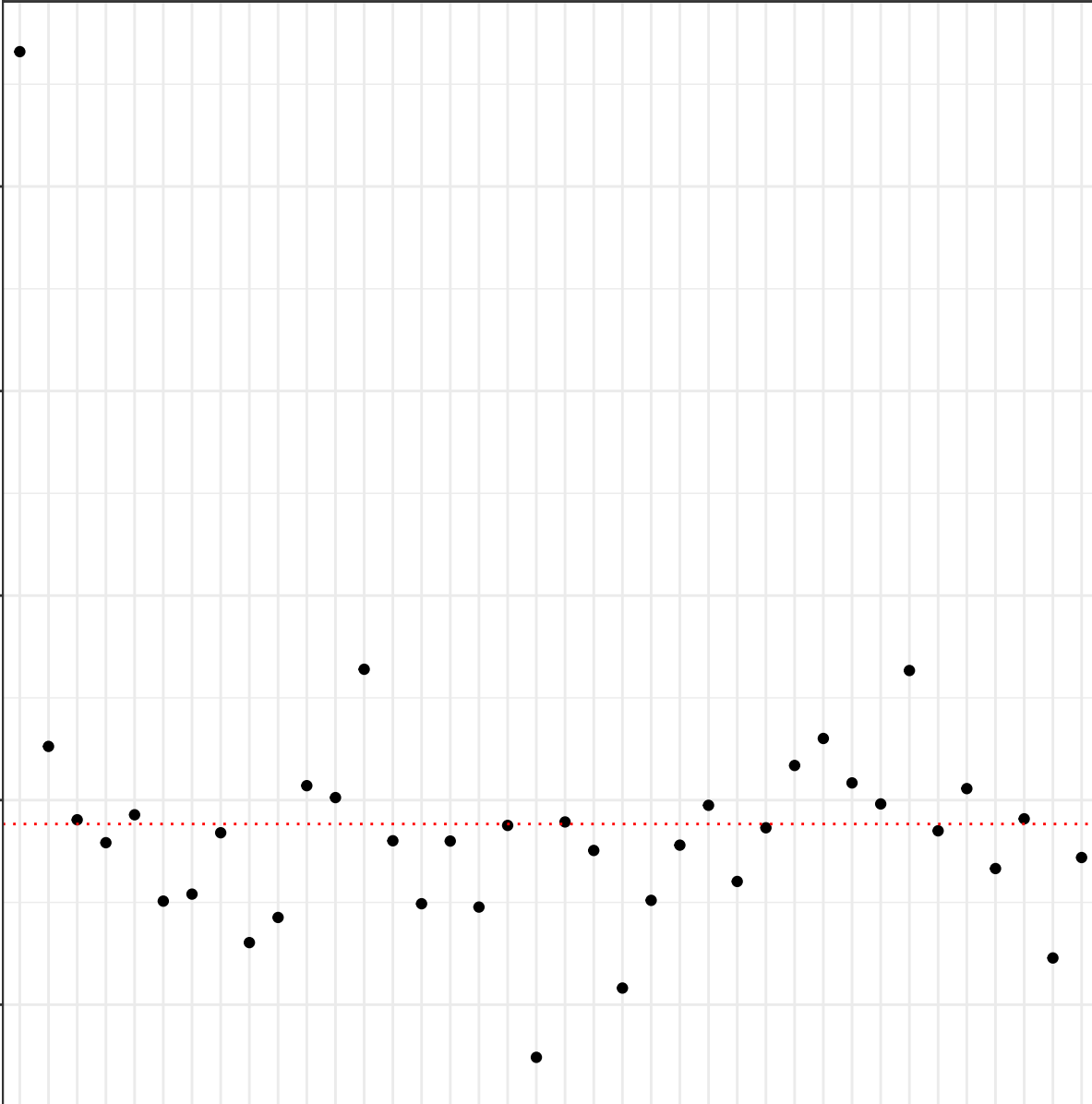
0.60

0.55

0.50

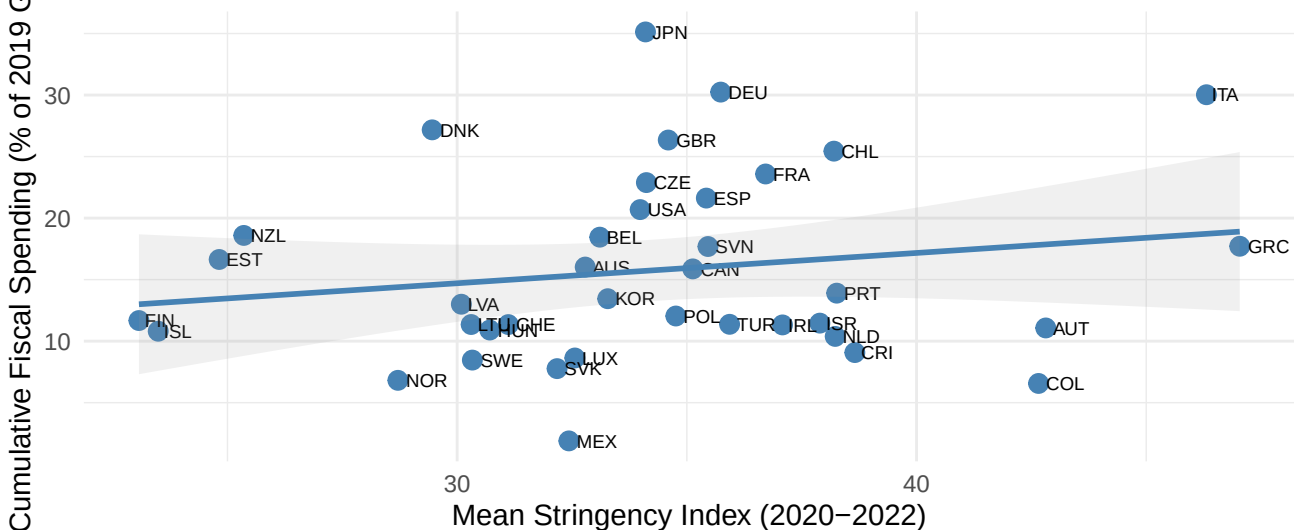
AUSUBECACHCHCOCROZEDNEKSESTFINFRABRIGURISISRRTAPKORTUUXVMEXLNDONRZPOERSVSVSWEUBSA

cluster



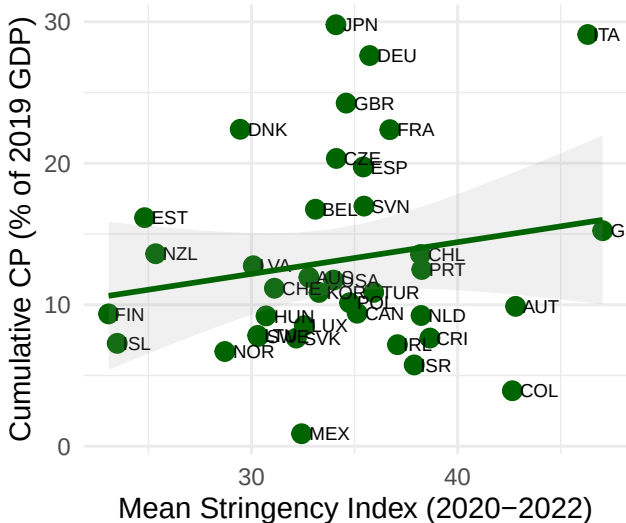
Did Stricter Lockdowns Lead to More Fiscal Spending?

Containment Intensity vs. Total Fiscal Deployment



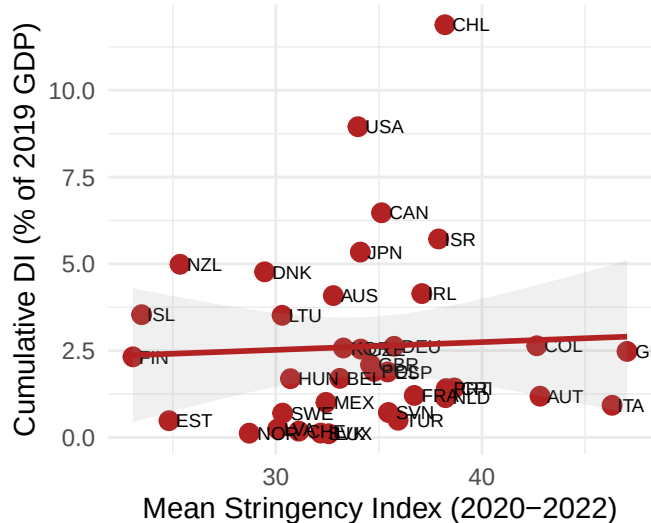
$r = 0.18$

Containment vs. Capacity Preservation



$r = 0.17$

Containment vs. Demand Injection

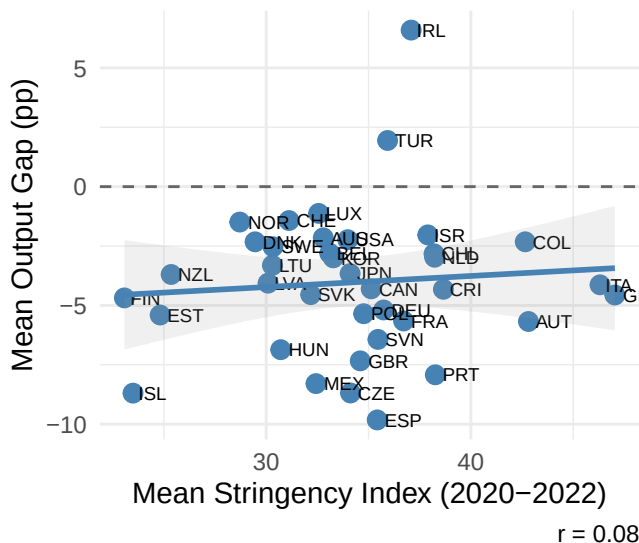


$r = 0.05$

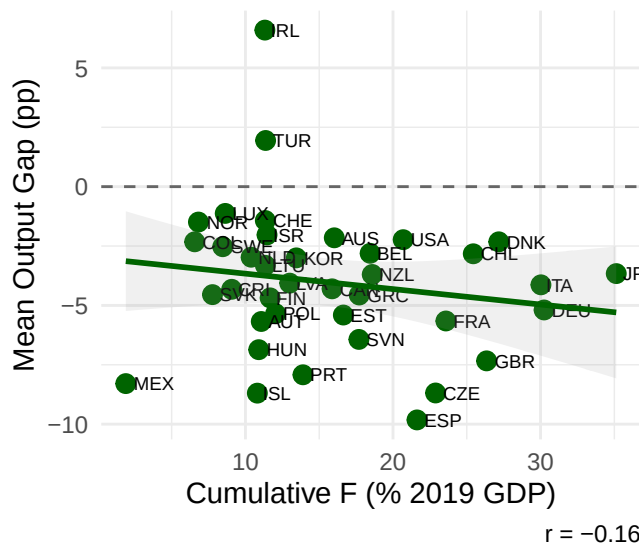
The Simpson's Paradox of Pandemic Fiscal Policy

Between-country correlations mask within-country causal effects

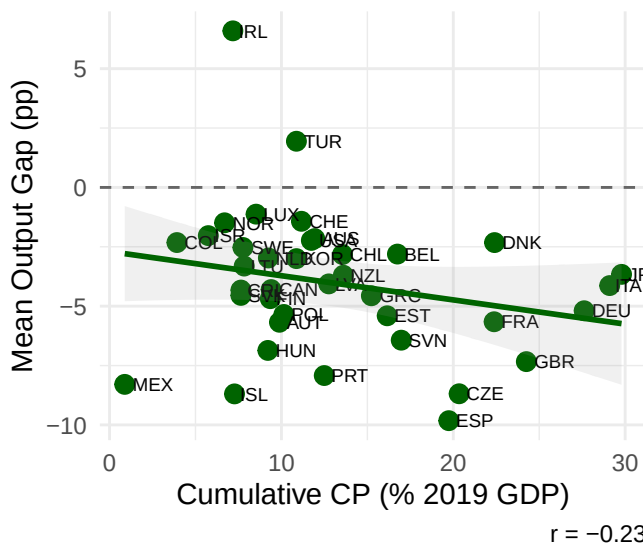
Containment vs. Output (Between Countries)



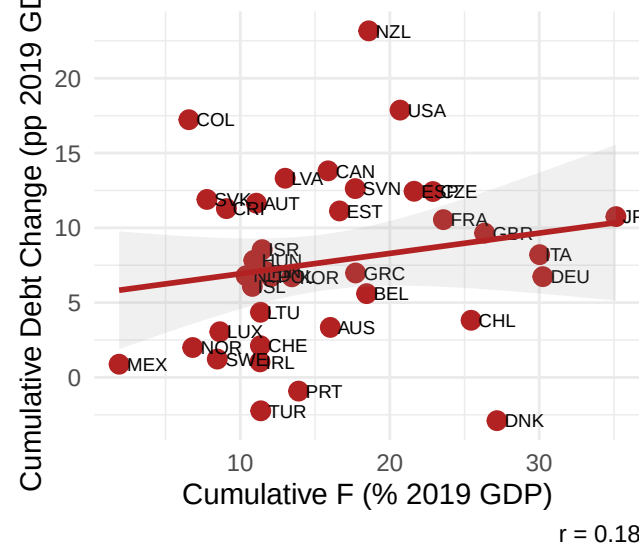
Total Fiscal Spending vs. Output (Between Countries)



CP vs. Output (Between Countries)



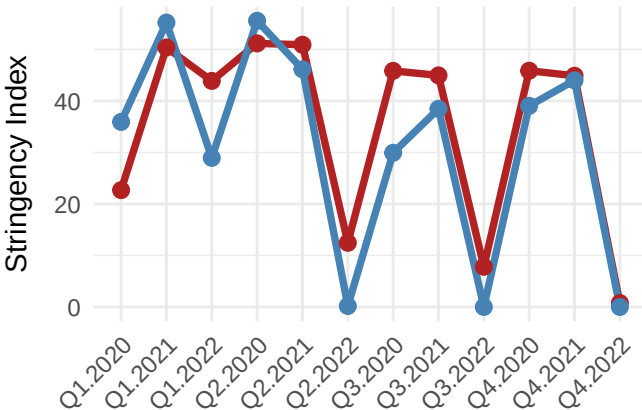
Total Fiscal Spending vs. Debt (Between Countries)



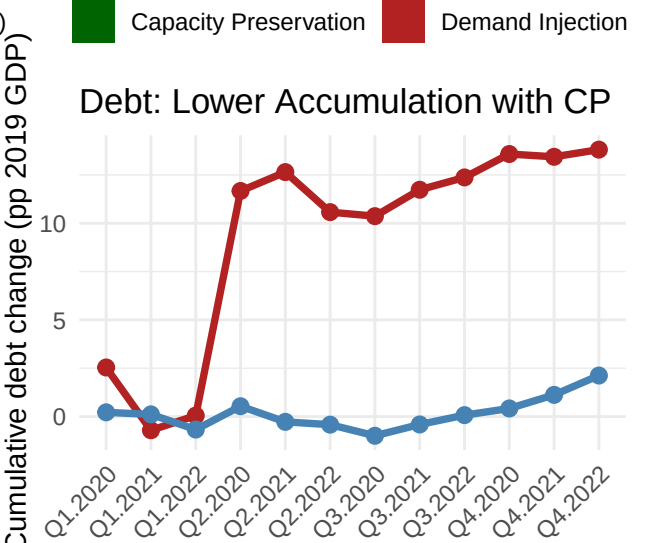
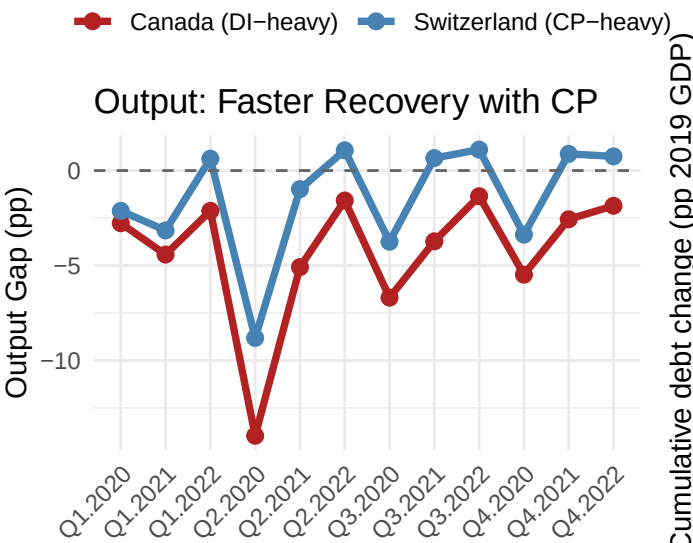
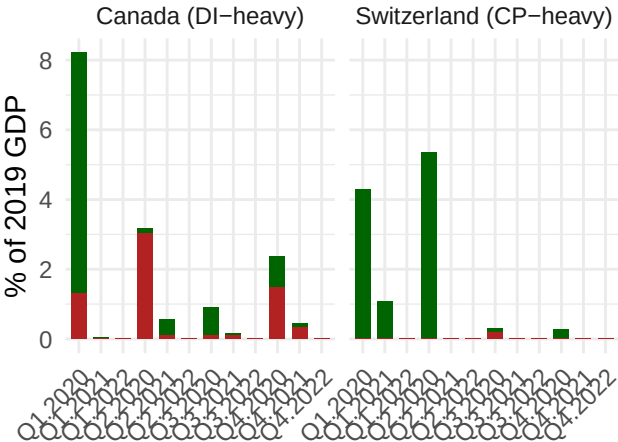
Canada vs. Switzerland: The Composition Effect

Similar containment and infection pressure, different fiscal strategies, different outcomes

Containment: Similar Stringency



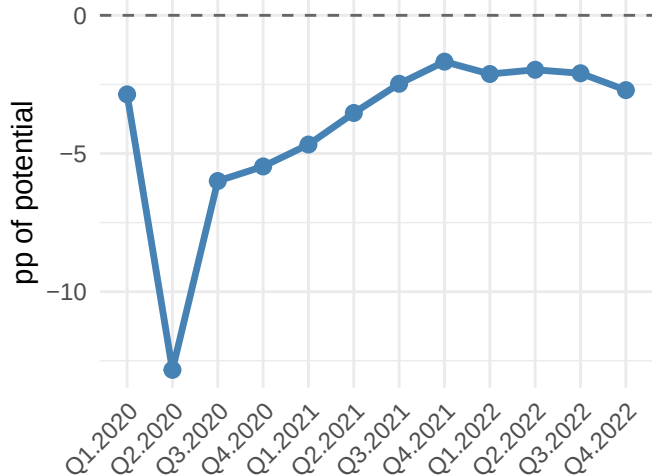
Fiscal Composition: Different Strategies



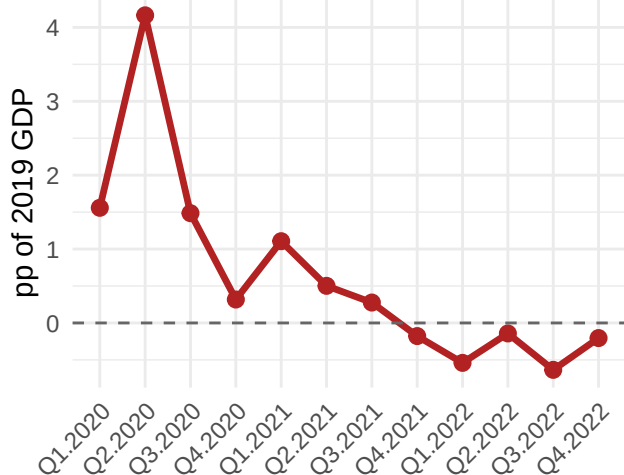
Cross-Country Averages (38 OECD Countries), Q1.2020 – Q4.2022

Output gap, debt dynamics, containment stringency, and fiscal composition

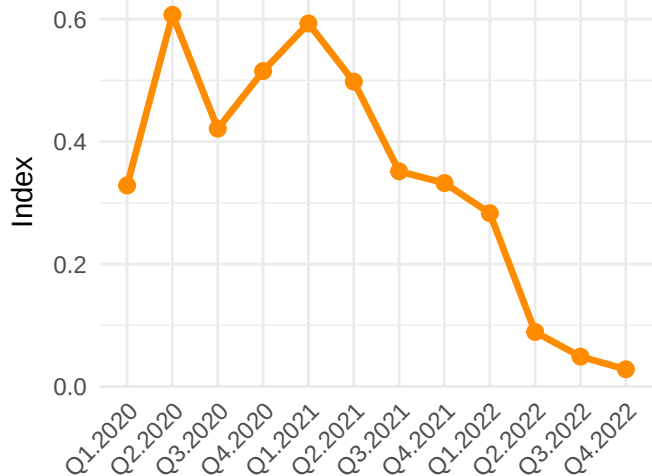
Output Gap



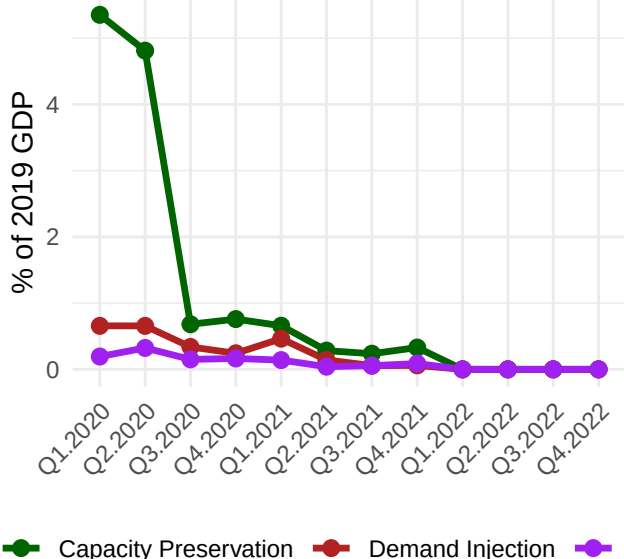
Debt Change (real)



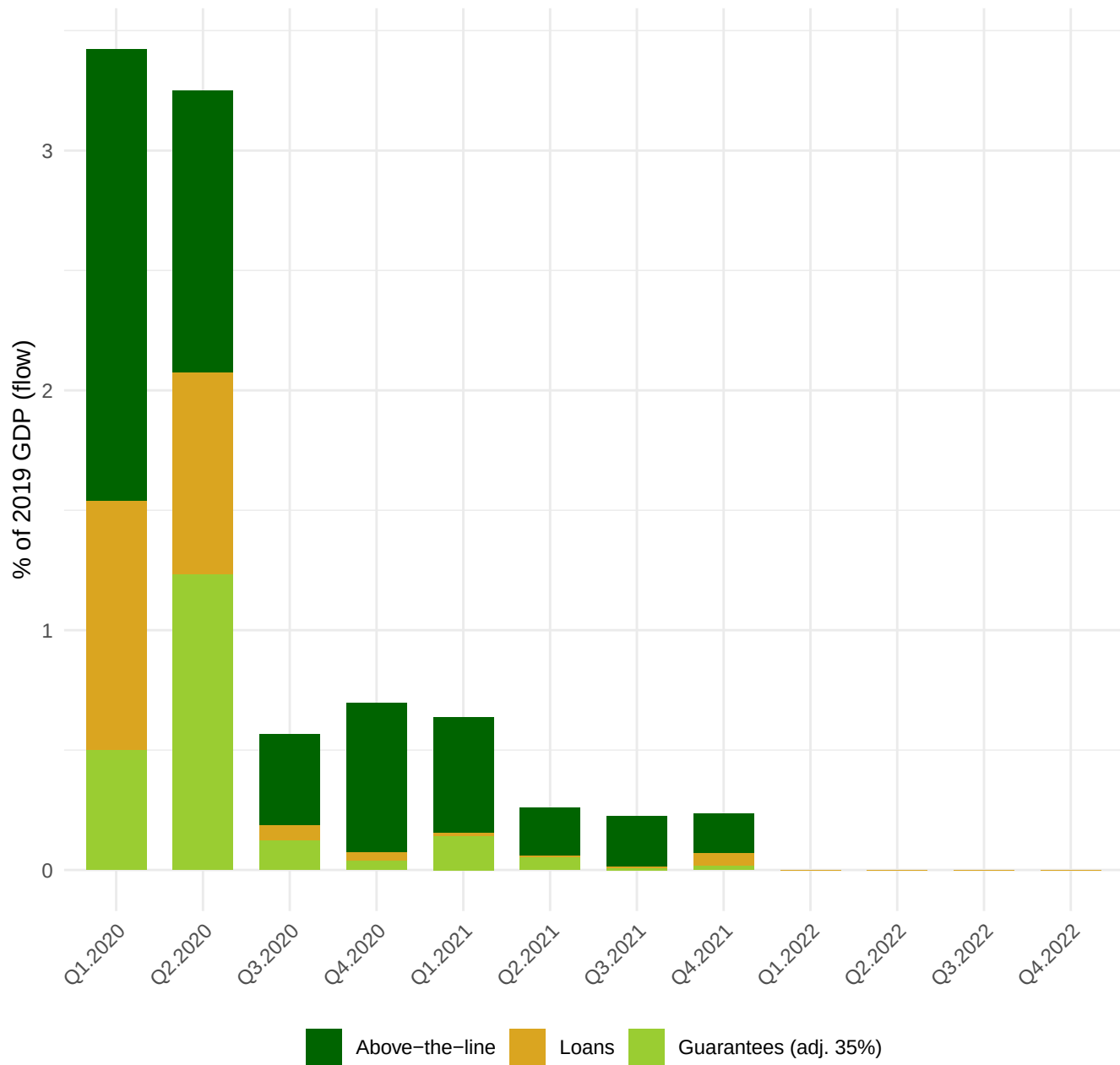
Stringency Index



Fiscal Composition

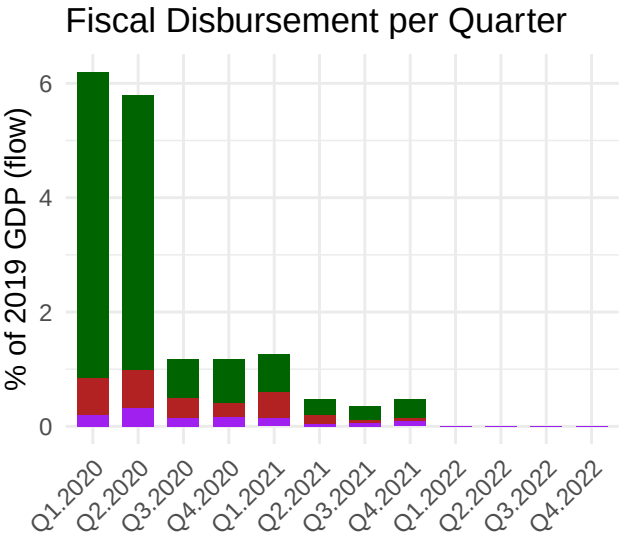
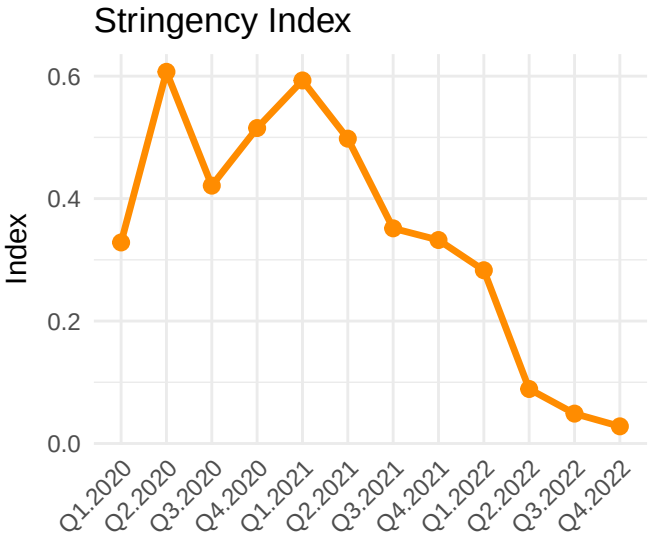
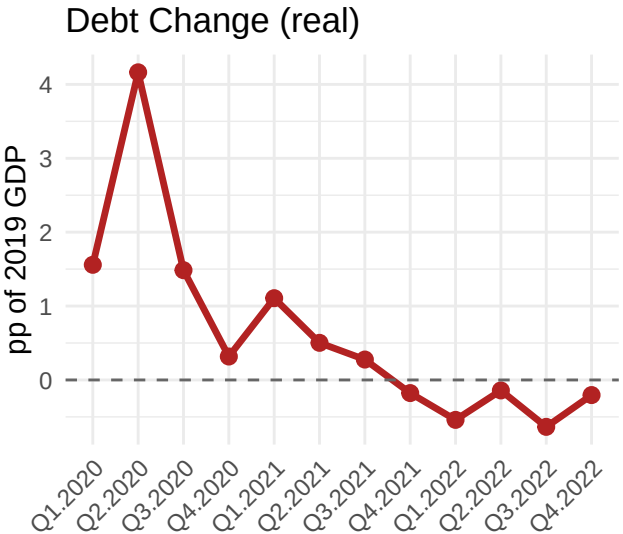
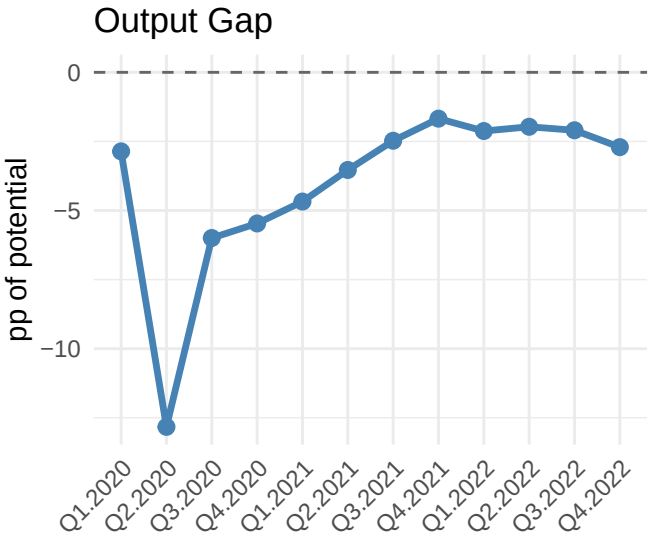


CP Decomposition per Quarter



Cross-Country Averages (38 OECD Countries), Q1.2020 – Q4.2022

Output gap, debt dynamics, containment stringency, and fiscal disbursement (flow per quarter)



Capacity Preservation Demand Injection Health Expenditure